# Practice workbook · The suspense account

When a suspense account is opened and writing it up from the trial balance difference and the suspense legs of correcting entries.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-CTL-09

# 1. Question 15 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

**15** Yasin has prepared a trial balance at 30 April 2019 that did not balance. The totals were debit $41 970 and credit $42 550.

The following errors and omissions were discovered.

1. The total of the sales day book had been overcast by $200.
2. Motor repairs, $180, had been posted to the debit side of the motor vehicles account.
3. A payment of $450 to Raul, a credit supplier, had been entered correctly in the cash book but had not been posted to Raul's account.
4. Discounts received of $80 had been posted to the debit side of the discounts allowed account.
5. Cash sales, $540, had not been recorded.
6. A payment for rent $430 had been recorded correctly in the cash book but as $340 in the rent account.

(a) Complete the table.

(3)

| Error | Type of error |
|---|---|
| 2 | |
| 5 | |
| 6 | |

(b) Prepare the suspense account at 30 April 2019.

(6)

**Suspense Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

# 1. Question 15 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(c) Complete the table to indicate with a tick (✓) the effect the **correction** of each error would have on the profit for the year.

(6)

| Error | Increase | Decrease | No effect |
|---|---|---|---|
| 1 | | | |
| 2 | | | |
| 3 | | | |
| 4 | | | |
| 5 | | | |
| 6 | | | |

**(Total for Question 15 = 15 marks)**

OLevels.com SCHOOL

## 1. Question 15 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 2. Question 17 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

**17** (a) State **two** purposes of a suspense account.

(2)

1 .....

2 .....

(b) Complete the following table for each scenario.

(6)

| Scenario | Type of error | Account to be debited | Account to be credited |
|---|---|---|---|
| A payment received from Jon, $200, was entered in Ron's account | | | |
| A cheque, $376, for wages was entered in the cashbook and the wages account as $367 | | | |

(c) Evaluate how the introduction of accounting software will improve the accuracy of a business's accounts.

(5)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

## 2. Question 17 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 3. Question 15 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

**15** On 31 August 2023 Jones, a sole trader, identified the following errors and omissions.

1. A withdrawal of cash for personal use, $650, had not been recorded.
2. A payment for motor expenses, $234, had been posted to the motor vehicles account.
3. A cheque paid for general expenses, $65, had been entered in the cash book as $56

(a) Prepare journal entries to record the correction of **each** of these errors and omissions.
Narratives are not required.

**(6)**

| | Account | Debit $ | Credit $ |
|---|---|---|---|
| August 31 | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

## 3. Question 15 · part c · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Identify, indicating with a tick (✓), the effect, if any, on the profit for the year ended 31 August 2023 following the correction of **each** error and omission.

(3)

| Error | Increase | Decrease | No effect |
|---|---|---|---|
| 1 | | | |
| 2 | | | |
| 3 | | | |

(c) State which account is opened when a trial balance does not balance.

(1)

.....

(d) (i) Explain **one** benefit of preparing a trial balance.

(2)

.....

.....

.....

.....

(ii) Explain **one** limitation of preparing a trial balance.

(3)

.....

.....

.....

.....

.....

**(Total for Question 15 = 15 marks)**

O1Levels.com — SCHOOL —

## 3. Question 15 · part c · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

## 4. Question 15 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

**15** (a) State **two** purposes of a trial balance.

(2)

1 .....

.....

2 .....

.....

(b) State the name of the account that is opened if a trial balance does not balance.

(1)

.....

On 31 March 2024 Harum prepared a trial balance that did not agree.

An investigation revealed the following errors.

- A cash payment for stationery, $300, had been entered as $30
- No entries had been made for goods, cost $550, taken by Harum for his own use.
- The purchase of a new motor vehicle, $10 000, had been posted to the motor expenses account.
- A credit purchase, $85, from Son, had been credited to the account of Song.

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

## 4. Question 15 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(c) Prepare journal entries to correct **each** error.
Narratives are required and must state the **type** of error involved.

**(12)**

**Journal**

| Date | Account | Debit $ | Credit $ |
|---|---|---|---|
| 31 March | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |

**(Total for Question 15 = 15 marks)**

OLevels.com SCHOOL

## 4. Question 15 · part b · 1 mark · Working and answer

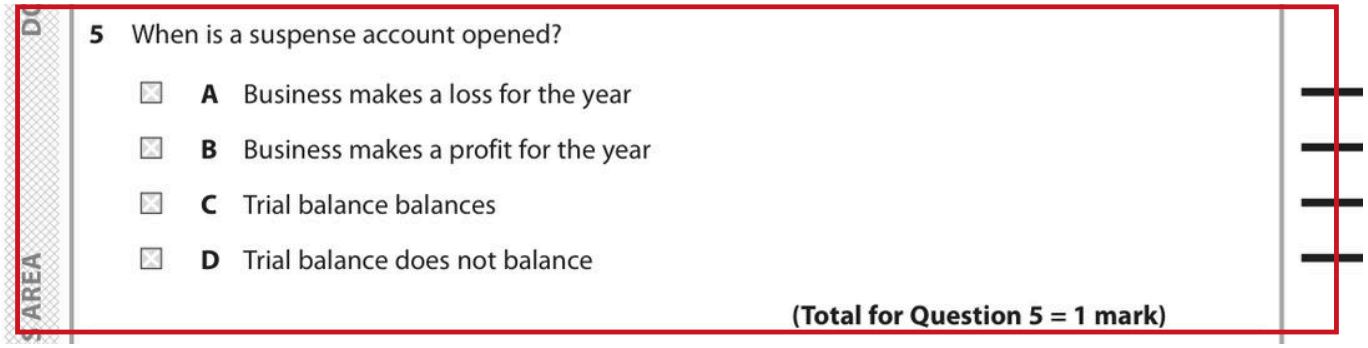
Working and answer

OLevels.com SCHOOL

## 5. Question 5 · part whole · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.



**5** When is a suspense account opened?

- ☒ **A** Business makes a loss for the year
- ☒ **B** Business makes a profit for the year
- ☒ **C** Trial balance balances
- ☒ **D** Trial balance does not balance

**(Total for Question 5 = 1 mark)**

Working and answer

OLevels.com SCHOOL

## 6. Question 15 · part c · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

**15** (a) State **two** types of error that do **not** affect the balancing of the trial balance.

**(2)**

1 .....

2 .....

Brandon, a sole trader, has prepared a trial balance that does not balance.

He discovers the following errors in his books of account at 30 April 2025.

1. The motor expenses account had been undercast by $200
2. The purchase of a motor vehicle, $2 000, had been entered in the motor expenses account.
3. A receipt from Palmer, a trade receivable, $60, had been posted to the account of Parker.
4. A cheque payment for wages, $154, had been correctly recorded in the bank account but had been posted to the wages account as $145
5. A cheque payment for stationery, $40, had been debited to the bank account and credited to the stationery account.

OLevels.COM — SCHOOL —

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

## 6. Question 15 · part c · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Prepare journal entries to correct **each** error. Narratives are **not** required.

**(10)**

**Journal**

| Date 2025 | Account | Debit $ | Credit $ |
|---|---|---|---|
| April 30 | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |
| | | | |

OLevels.com SCHOOL

(c) Prepare the suspense account at 30 April 2025.

**(3)**

**Suspense Account**

| Date 2025 | Details | $ | Date 2025 | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

**(Total for Question 15 = 15 marks)**

## 6. Question 15 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL